greater the value of the asset, the more money miners make, which draws new miners into the ecosystem, thereby increasing the security of the network. It's a virtuous cycle that ensures the bigger the network value of a cryptoasset, the more security there is to support it.

Whether it be Bitcoin, Ethereum, or Zcash, many miners join mining pools, which means they connect with other miners and collectively the pool contributes their hash power to finding golden hashes. The pool then shares in the profits, with different models for how the profits are split.[10] A single miner might find only a block once a month, or worse. By being part of a pool, miners get a more predictable revenue stream.

There are a few major costs to mining: equipment, physical space necessary for the machines, electricity, and labor. For Bitcoin, dedicated mining devices are available, such as those from Antminer and Avalon, and the key metric to look for is the efficiency of the machine. In other words, how many hashes are generated for a certain amount of power, expressed in the ratio watts per gigahash (W/GH). To help better understand these cost calculations, refer to mining profitability calculation websites, such as CoinWarz.[11]

Cloud-Based Mining Pools

Innovative investors may consider a cloud-based *mining pool* service. Here, an investor buys into an existing mining pool and shares in the rewards from its mining efforts. There's no need for owning and maintaining dedicated hardware, just as